

AS level

Addressing income and wealth
inequality !



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Income is not the same as wealth !

Income is a flow of money going to factors of production, including :-

- * Wages and salaries
- * Dividends
- * Welfare benefits
- * Profits
- * Rental income
- * Interest

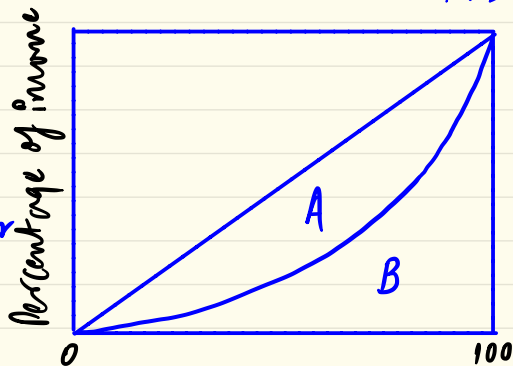
Wealth is a stock of money or assets, including :-

- * Savings
- * Shares
- * Property
- * Bonds

Measuring income and wealth inequality

Lorenz curve! $\left(\frac{A}{A+B}\right)$

Gini coefficient is a way of measuring the extent of inequality in the distribution of income in an economy. It is measured by the ratio of the area between the diagonal line of equality and the Lorenz curve to the total area under the diagonal line. The bigger this area, the more unequal the distribution of income.



In this way, the Gini coefficient measures the extent to which the distribution of income in an economy diverges from the position of total equality. The lower the value of the coefficient, the more even distribution of income. The higher the value of the coefficient, the less even the distribution of income.

Economic reasons for the inequality of income and wealth:-

Employment:- A major cause of income inequality is the ability of people to obtain well paid employment. When there is a decrease in employment in an economy, there will be fewer people receiving wages and salaries and more people receiving

benefits. When there has been a decrease in full time employment and an increase in part-time employment, income inequality will widen because rates of pay are likely to be lower in part time than in full time employment.

Government policy :- If an economy is experiencing difficulties, there could be a 'wage freeze' or lower than inflation wage rises. This is especially the case with public sector workers who may have experienced a fall in their real standard of living where increases in wages have been below increases in price.

Taxation :- A government may decide to raise the levels of taxation in order to increase public revenue. It might also take more regressive when a higher proportion of tax is taken from people on relatively lower incomes than those on relatively higher incomes.

Policies to redistribute income and wealth :-

Minimum wage :- A government could decide to establish minimum wage rather than allow wages to be determined by the demand and supply of labour market.

However, one problem with a minimum wage is that it could be argued that it could lead to income becoming more unequal because some employers may not be able to pay all their workers the minimum wage and so some of them will become unemployed and be forced to live on benefits.

Transfer payments:- A government could intervene in a market through the provision of transfer payments. This is where revenue received by government, such as through the proceeds from taxation, is used to provide financial support for people, particularly those who are less well off. Examples of transfer payments include pensions and social security payments.

The provision of transfer payments could have an effect on the market. For example, unemployment benefit is paid in many countries to those people who are unemployed. This can be seen as advantageous to those who have been unable to find employment, but it could also be argued that it has a distorting effect on the labour market. For example, if the unemployment benefit is relatively high, it may make some people unwilling to seek employment.

Progressive income tax and inheritance and capital taxes:- A progressive tax is the one where not only the amount of tax paid rises when there is an increase in income, but the rate of tax increases. For example, rates of income tax could start at 10% and then increase to 20%, 30%, 40%, 50% and even higher as income rises. In this situation, the marginal rate of taxation increases with the rise in income.

A government could also decide to intervene in an economy with the aim of bringing about a more equitable distribution of wealth, as well as income. E.g. inheritance and capital taxes (second home, antiques or shares).

State provision of essential goods and services:- This helps to redistribute income and wealth because the money to pay for the provision of the essential goods and services comes from the money received from taxation. This helps to lessen inequality because the money received by the government pays for the goods and services that poorer people are unable to afford. State provision of health care is an example.

Questions

- Q1 State 3 examples of income ? 3
- Q2 State 3 examples of wealth ? 3
- Q3 Using diagrams explain Lorenz curve ? 8
- Q4 Explain 3 reasons for inequality of income and wealth ? 6
- Q5 Explain 4 policies to redistribute income and wealth ? 12
(mention its effectiveness)